

The Sole Trader



Task 1

What are the people in the pictures doing? What are their jobs?
How many self-employed people do you know?

Task 2

Read the text on the next page. Discuss with your partner or small group the meaning of the highlighted words and expressions in the text. Identify any other vocabulary you are not familiar with.

Task 3

In groups or pairs list the advantages and disadvantages of a sole trader in note form in the following table:

ADVANTAGES	DISADVANTAGES

The Sole Trader

A sole trader describes any business that is owned and controlled by one **self-employed person**. It is the simplest form of company and although some businesses may employ other workers, it is often the form of business used for people who work on their own, often providing a specialist service, such as a plumber, a photographer or a hairdresser.

This form of business requires no further registration other than notification to the local tax office. The owner must be **over 18**.

There are many advantages and disadvantages to being a sole trader.

Some of the advantages are:

- The firms are usually small and easy to set up.
- Generally, only a small amount of **start capital** is needed to start a business usually provided by the owner from savings or a **business loan** from a bank.
- There is no **minimum capital requirement** to start up as a sole trader.
- The owner has full control over the business and takes all the decisions without consulting anyone else.
- In addition, the profits are not shared with anyone else.

However, this company type carries a number of risks:

- A sole trader has **no legal personality** as the owner is effectively the business. This means that the owner has **unlimited liability** for all debts and will personally deal with legal actions. The major risk is that in case of business failure the owner stands the chance of losing all of his or her **private assets**.
- Since this kind of company does not require its owners to **file accounts** or records, it **lacks transparency** and, therefore, makes it difficult to attract outside investment which can hinder expansion and growth.
- Sole traders often work on their own and have no-one to share the responsibility and tasks with. A good electrician, for example, may not be very good at handling the accounts.
- Working on their own means sole traders often work long hours and find it difficult to take time off for holidays or if they are ill. A period of illness can **threaten the livelihood** of many sole traders.
- **Business expansion is also limited** by the amount of capital personally available.

Task 4 Presenting

Present your results to the rest of the class.